

6.5% from its earlier projection of 6% but says that this could be dampened by the prevailing uncertainty related to US tariffs. Standard Chartered expects the GST cut to boost GDP growth by 10-16 basis points and lower inflation by 40-60 basis points on an annual basis. However, for now, it has retained its FY26 GDP forecast at 6.9% as well as inflation forecast on account of US tariffs, weather risks and mid-year GST implementation.

Upasna Bhardwaj, Chief Economist at Kotak Mahindra Bank, says income tax and GST rate cuts, if fully passed on to consumers, could provide a stimulus of 0.6% of GDP on a pro rata basis in FY26. It could also create a disinflationary impact of 100 basis points.

BELOW THE SURFACE

But scratch the surface and there are concerns over the implementation and the efficacy of the measures.

28 | Several states, most prominently eight Opposition-ruled states—Karnataka, Kerala, Tamil Nadu, Jharkhand, Himachal Pradesh, West Bengal, and Telangana—have raised concerns over revenue losses from the rate cuts and have sought further compensation. While the compensation cess is set to come to an end, revenue gains from the higher 40% tax on sin and ultra luxury goods are expected to help make up for some of the shortfall. In all, revenue losses are seen at about ₹93,000 crore.

Revenue Secretary Arvind Shrivastava has said that the net financial implication of the move would be about ₹48,000 crore annually.

As per some estimates, nearly two-thirds of this would have to be borne by the states, although the income tax giveaways and expected measures to support exporters are likely to impact the Centre's coffers too.

"We still see pressure on the FY26 combined fiscal deficit (of 0.15-0.20% of GDP) on a shortfall in direct taxes and a potential relief package for exporters. Our base case for the combined fiscal deficit is 6.9% of GDP in FY26 (with 4.4% for the Centre)," says a note by Standard Chartered.

Though there is no exact estimate of the revenue implication for now, officials note that



GST CUTS MAY NOT OFFSET 50% US TARIFF

Rajiv Kumar, former Vice Chairman of NITI Aayog and Chairman of Pahlé India Foundation, says the move will increase purchasing power, and can have a multiplier effect

BY SURABHI

WELCOMING THE RATE cuts in the goods and services tax (GST), Rajiv Kumar, former Vice Chairman of NITI Aayog and Chairman of not-for-profit policy think tank Pahlé India Foundation, says it can have a multiplier effect on growth and lead to higher private investment and higher growth of bank credit. However, it may only marginally offset the tariffs imposed by the US on Indian exports, he tells *BT*, underlining the need for structural reforms to make India more export oriented. Edited excerpts:



Do you think the GST rate

cuts will boost domestic demand and consumption?

Yes, it will certainly boost consumption, especially by the middle class, in items like appliances where the rate has been reduced. This will lower the price and boost demand. Also, the reduction of GST to zero on insurance will help increase the penetration rate, including in rural households. More importantly, reducing GST to zero on many essential commodities will put more money in pockets of the poor and the lower middle class. They will have extra purchasing power to buy other goods and services.